

of the 1980s to the “ultra short-term” high-yield bond funds of 2007 (which in the 2008 crisis became another one of the industry’s abject failures).

Our creation of literally hundreds of technology funds, telecommunications funds, Internet funds, and the like to capitalize on the Information Age during the New Economy craze of 1998-2000 is but one more example of complex innovation run amok. As the market soared, fund investors poured hundreds of billions of dollars into these highly promoted funds, only to take a huge hit in the subsequent crash.

We actually can measure how much that wholesale embrace of fund innovation cost our investors. Let’s compare the returns reported by the *funds themselves* (time-weighted returns) to the returns actually earned by *fund investors* (dollar-weighted returns) during the 25 years ended 2005. The average equity fund *reported* an annual rate of return of 10 percent for the period—trailing the 12.3 percent return on an S&P 500 Index fund. But the return *actually earned* by the investors in these funds was 7.3 percent, a lag of 2.7 percentage points per year below the return the funds themselves reported.

Cumulatively, then, fund investors on average experienced but a 482 percent increase in their capital over the period. Yet, simply by buying and holding the market portfolio through an index fund, they would have earned an increase in capital of 1718 percent, nearly four times as large! Thanks to the innovation and creativity of fund sponsors—and surely the greed (or perceived need) of fund investors—the return that mutual fund investors received on their hard-earned capital was less than a third of the return offered by the stock market itself. For the mainstream funds, the losses were much smaller; for their New Economy cousins, the losses were staggering. So much for the well-being of the investor!

As to the well-being of managers, we can conservatively estimate that the fees and sales loads paid to fund managers and distributors during this period totaled in the range of \$500 billion. So yes, *someone* is earning enormous profits by jumping on the bandwagon